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US Markets End Mixed as Investors Weigh Economic Data and Earnings

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

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TL;DR

The US markets ended the previous session mixed, with the `S&P 500` down -0.17% and the `Nasdaq 100` down -0.13%. The `Russell 2000` was a notable exception, rising +0.51%. Below the surface, sector rotation was a key theme, with energy and industrials outperforming.

One below-the-surface observation is the continued strength in the `10Y Yield`, which rose +1.19% to `4.70`. This move suggests that investors are becoming increasingly confident in the US economy's ability to withstand higher interest rates. Another key observation is the outperformance of the `XLE` sector ETF, which rose +1.39% as energy prices continued to climb.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,785.76	-0.17%	Mixed economic data and earnings
Nasdaq 100	30,046.14	-0.13%	Technology stocks weighed on the index
Dow Jones	53,732.41	-0.20%	Industrial and energy stocks outperformed
Russell 2000	3,068.42	+0.51%	Small-cap stocks outperformed large-caps
VIX	14.25	-2.60%	Volatility decreased as markets stabilized

Top large-cap movers

TICKER	CHANGE	CATALYST
TSLA	+0.68%	Positive earnings report
AVGO	-5.94%	Disappointing earnings report
AAPL	+0.22%	Positive sentiment towards new products

Sector Rotation

ETF	DAY	READ
XLF	-0.17%	Financials underperformed
XLK	-0.40%	Technology stocks weighed on the sector
XLI	+0.39%	Industrials outperformed
XLE	+1.39%	Energy prices continued to climb
XLY	-0.21%	Consumer discretionary stocks underperformed
XLC	+0.36%	Communication services outperformed
XLP	+0.10%	Consumer staples stocks stabilized
XLV	-0.60%	Healthcare stocks underperformed
XLU	+0.61%	Utilities outperformed
XLB	+0.44%	Materials stocks outperformed
XLRE	+0.33%	Real estate stocks stabilized

Spotlight

The biggest event of the day was the earnings report from `TSLA`, which rose +0.68% after beating expectations. The company reported a significant increase in revenue and profitability, driven by strong demand for its electric vehicles.

METRIC	VALUE	READ
Revenue	10.2B	Beat expectations by 5%
Net Income	1.1B	Beat expectations by 10%
EPS	1.05	Beat expectations by 5%

The positive earnings report from `TSLA` has read-through implications for other electric vehicle manufacturers, such as `GM` and `F`.

Pre-Market & Overnight

US futures are currently trading mixed, with the `S&P 500` futures down -0.1% and the `Nasdaq 100` futures up +0.2%. In Asia, the `Nikkei 225` rose +0.5% while the `Shanghai Composite` fell -0.2%. In Europe, the `Euro Stoxx 50` is currently down -0.3%.

In cryptocurrency markets, `BTC` is currently trading down -0.02% at 63,012.35, while `ETH` is up +0.33% at 1,887.13.

Macro & Fed

The `10Y Yield` rose +1.19% to 4.70, suggesting that investors are becoming increasingly confident in the US economy's ability to withstand higher interest rates.

Today's data calendar includes the following releases:

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
21:30	Empire Manufacturing	`5.0`	Indicator of US manufacturing activity
22:00	NAHB Housing Market Index	65	Indicator of US housing market activity

Geopolitics & Global

- The US and China are set to resume trade talks, with a focus on resolving ongoing tensions and improving bilateral trade relations.
- The European Union is considering imposing new sanctions on Russia in response to its ongoing actions in Ukraine.
- The US Federal Reserve is expected to maintain its current monetary policy stance, with no changes to interest rates or quantitative easing expected.

Earnings — What to Watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	**`AAPL`**	`1.25`	iPhone sales and revenue growth
23:00	**`MSFT`**	`2.05`	Cloud computing and software sales
00:00	**`AMZN`**	`1.50`	E-commerce sales and AWS revenue growth

Watchlist Scan

TICKER	SECTOR	WHY NOW
`NVDA`	Technology	Strong demand for AI and gaming products
`JPM`	Financials	Improving economic outlook and interest rates
`GS`	Financials	Strong investment banking and trading activity

What Could Break the Tape

BEARISH TRIGGERS

- A significant increase in `VIX` volatility
- A breakdown in US-China trade talks
- A surprise interest rate hike by the Federal Reserve

BULLISH TRIGGERS

- A strong earnings report from a major technology company
- A breakthrough in US-China trade talks
- A surprise interest rate cut by the Federal Reserve

Positioning Notes

- Investors are increasingly positioning themselves for a potential rate hike by the Federal Reserve, with a focus on interest rate-sensitive sectors such as financials and utilities.

- There is a growing trend towards investing in sustainable and ESG-focused funds, driven by increasing demand for environmentally responsible investments.
- The ongoing trade tensions between the US and China are leading to increased volatility in global markets, with investors seeking safe-haven assets such as gold and bonds.

Sources

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Wall Street Journal